



LONDON INDEPENDENT MARKET GROWTH

By Beng Ren Siew

Objective

- Understand the current market size and different industries in London
- Understand the geography of London and where businesses are located
- Identify the direction of growth based on Spend of the businesses
- Understand the above aspects for the independent market

Important Details

Spend: The customer expenses in the business.

Repped: Businesses that are self-represented – Independent Companies.

Prospect: Potential or prospective businesses not currently associated with the Food Distributer Company.

MARKET SIZE

Industry

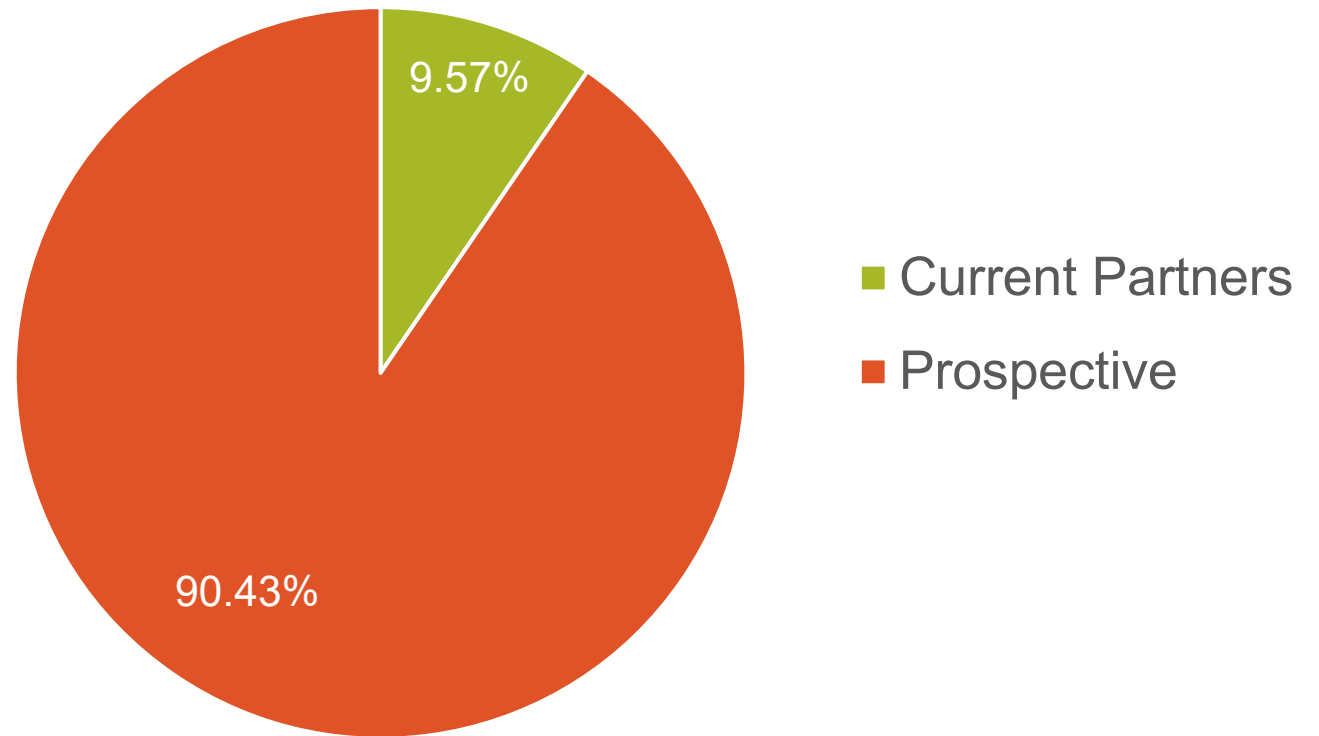
- With 31,113 total companies within London
- 2,977 out of 31,113 is currently partnered with Company
- 28,136 prospective companies

Industry	Total count	Current Partners	Prospective
Pubs & Restaurants	11138	723	10415
Quick Service	9696	558	9138
Hotels	2218	228	1990
Education	4144	609	3535
Business & Industry	264	264	0
Travel & Leisure	2120	287	1833
Health & Care	1461	236	1225
Retail	23	23	0
Wholesale	45	45	0
Distribution	4	4	0
	31113	2977	28136

Ratio of Current & Prospective

- ~90% of prospective companies
- Significant potential for growth within London

Set a minimum standard to filter lower growth potential clients.

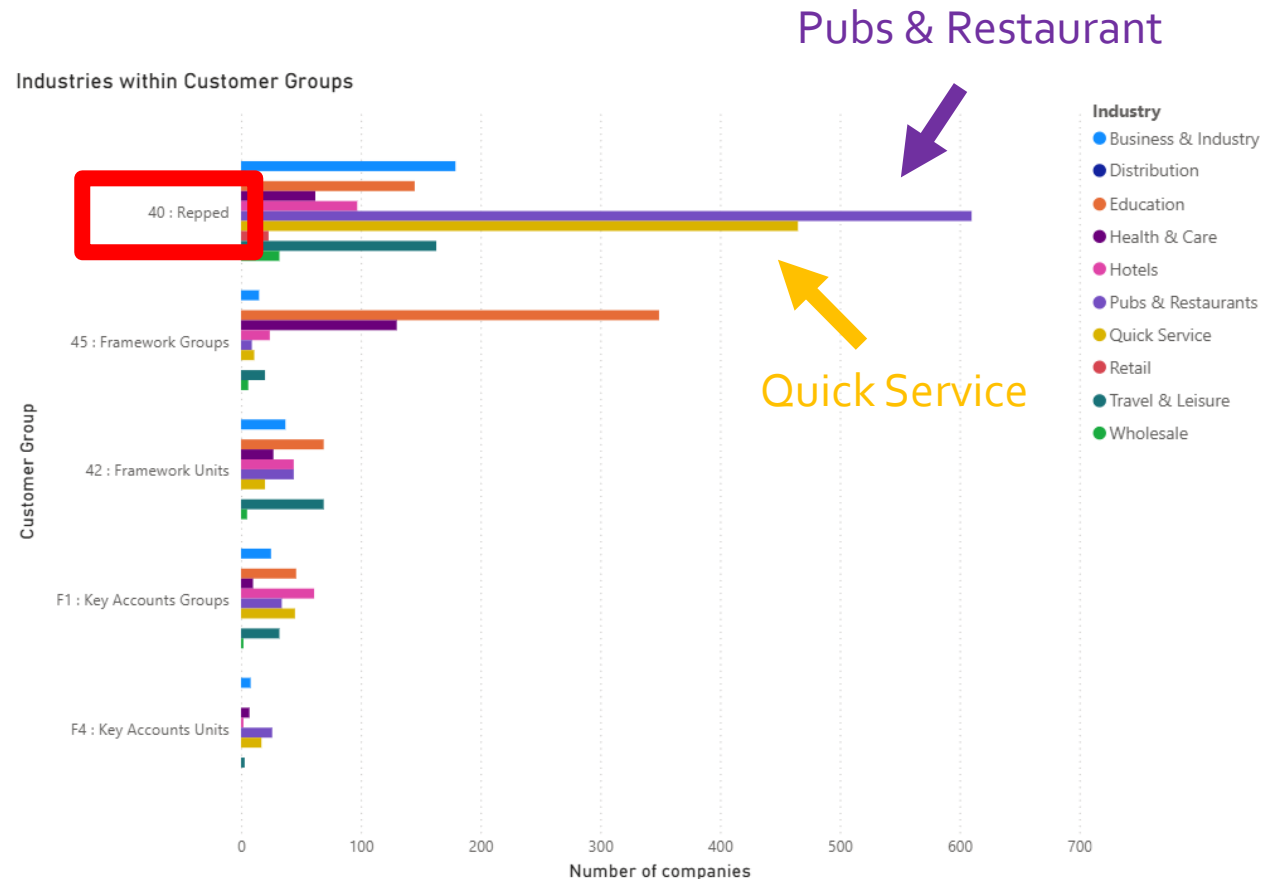


Industries within Customer group

- All customer group's the Company are currently working with

Example: Repped

- Pubs & Restaurant highest in Repped followed by Quick Service

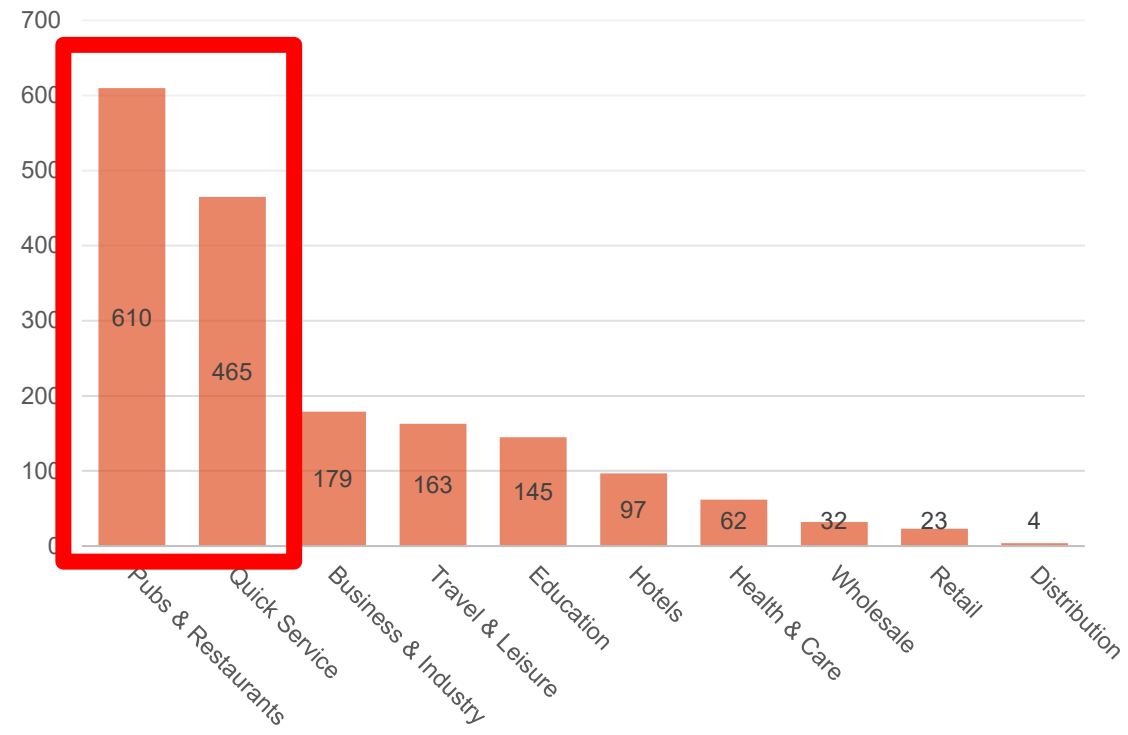


Industries within Customer group

Example: Repped

- Pubs & Restaurant highest in Repped followed by Quick Service

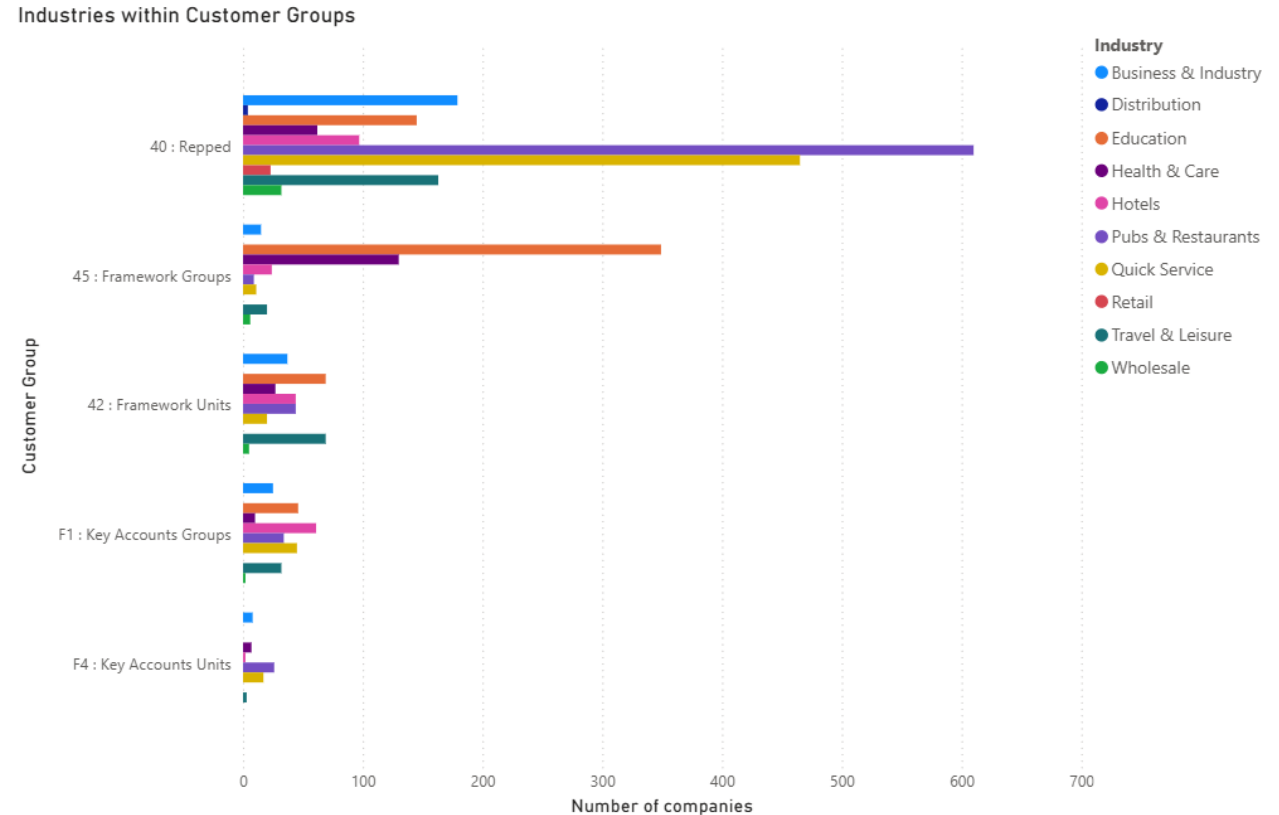
Highly likely to be an independent or individually owned business.



Industries within Customer group

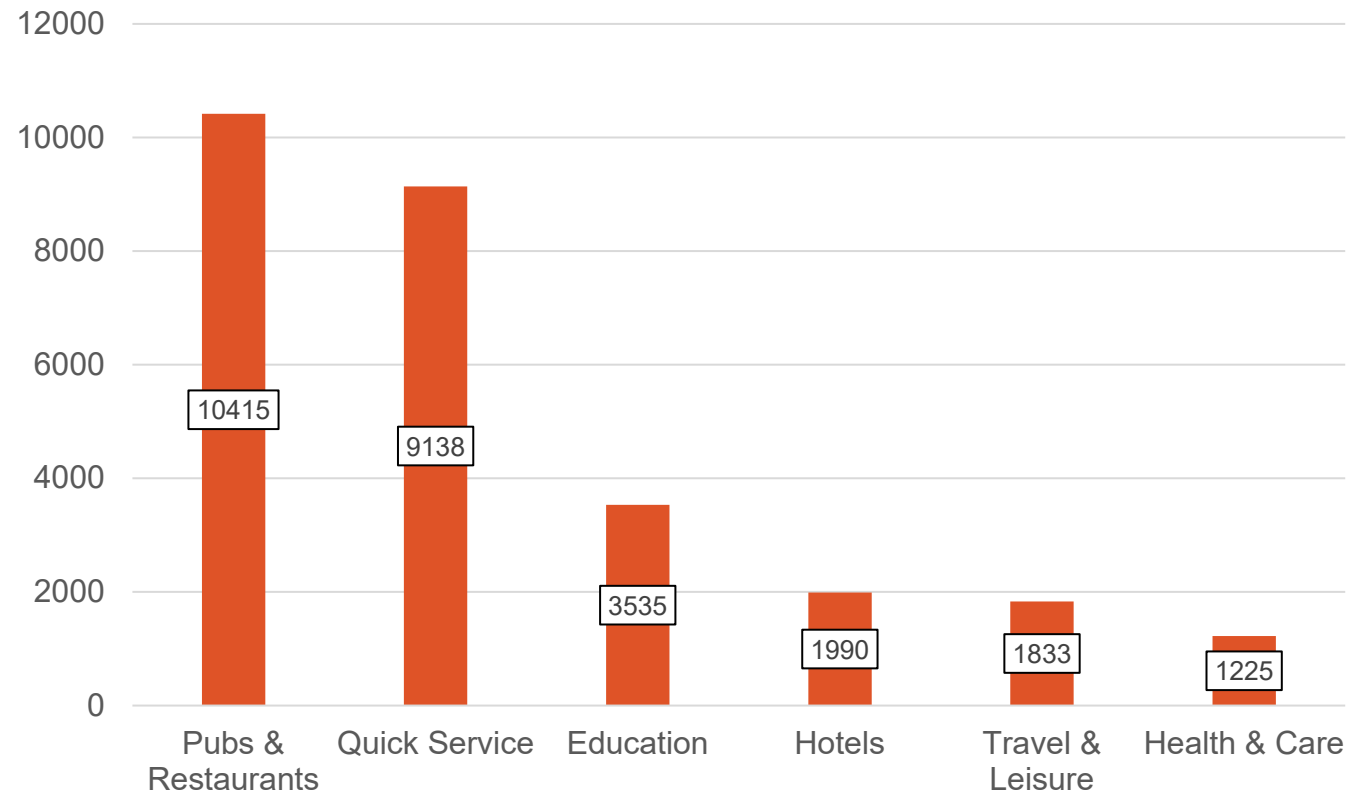
- All customer group's the Company are currently working with

Higher chance an industry will be in a certain Customer Groups



Prospective businesses and their industry

How many are independent businesses?



Prospect Market Size (Ratio of Repped)

- ~60% is considered 'Repped'
- We can use the same ratios.

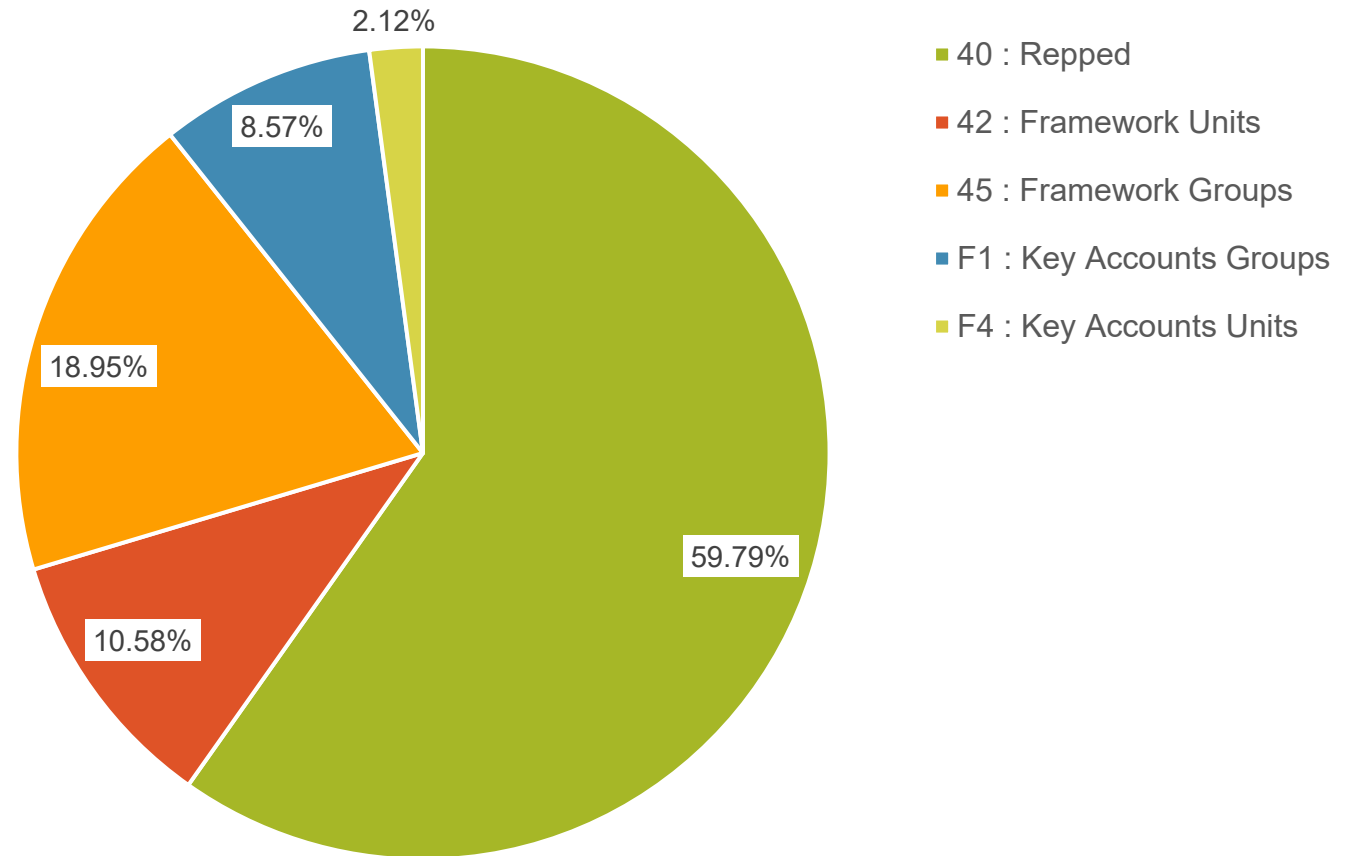
Example:

Prospect = 28,136 Businesses

$28,136 \times 59.79\%$

=

Estimated: 16,822 independent businesses.



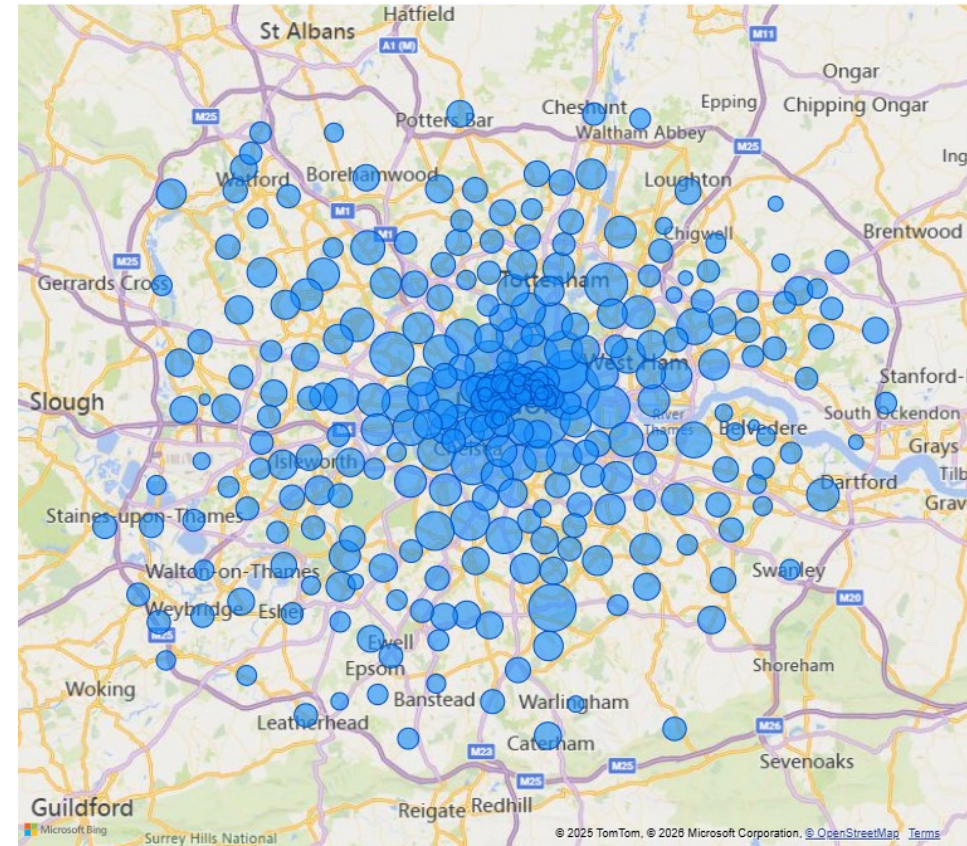
GEOGRAPHY

Business Location based off Postal Region

Shows all businesses' location based on postal region.

The size of the bubble indicates how many businesses are in that postal region.

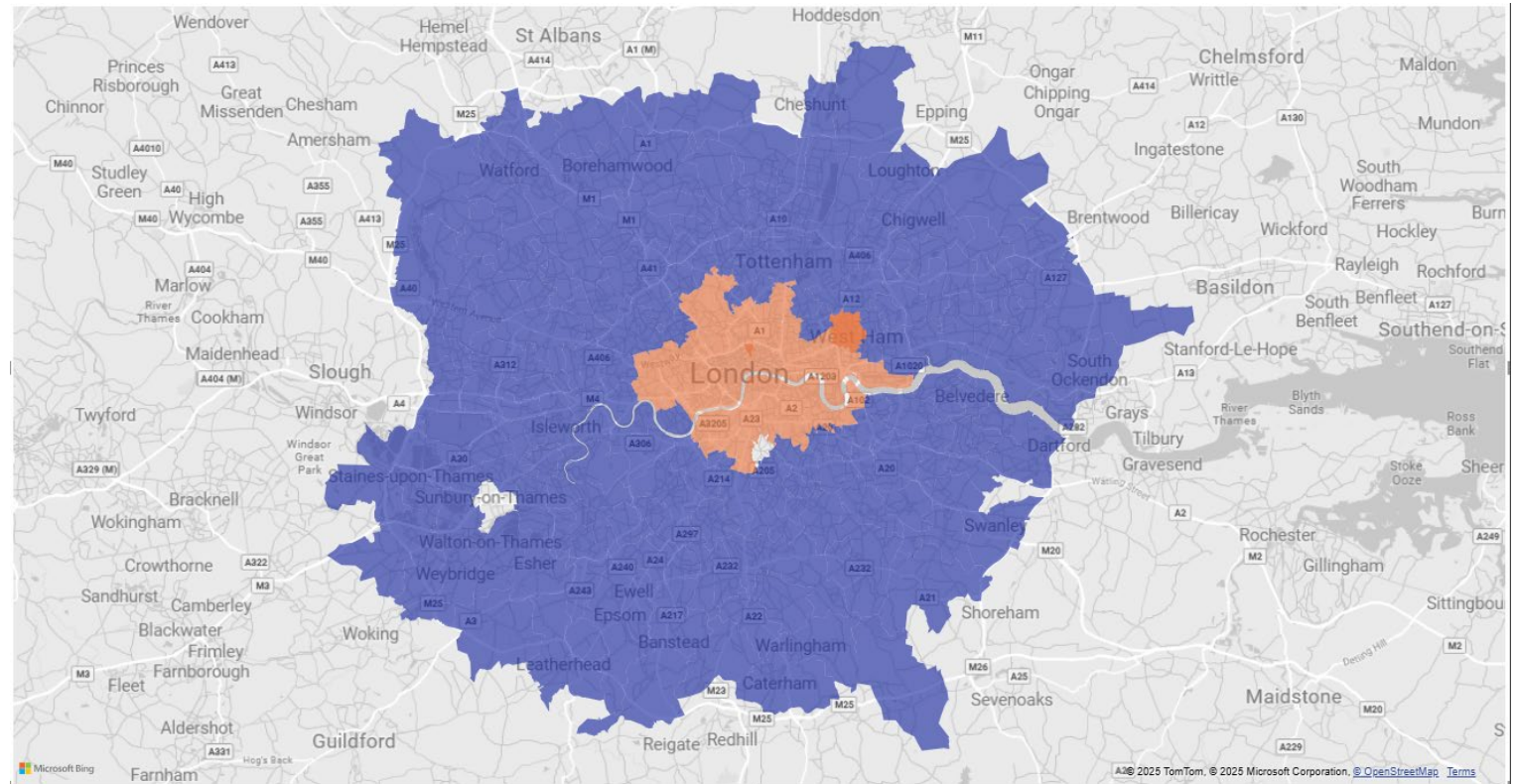
High density of in central part of London.



Inner and Outer London

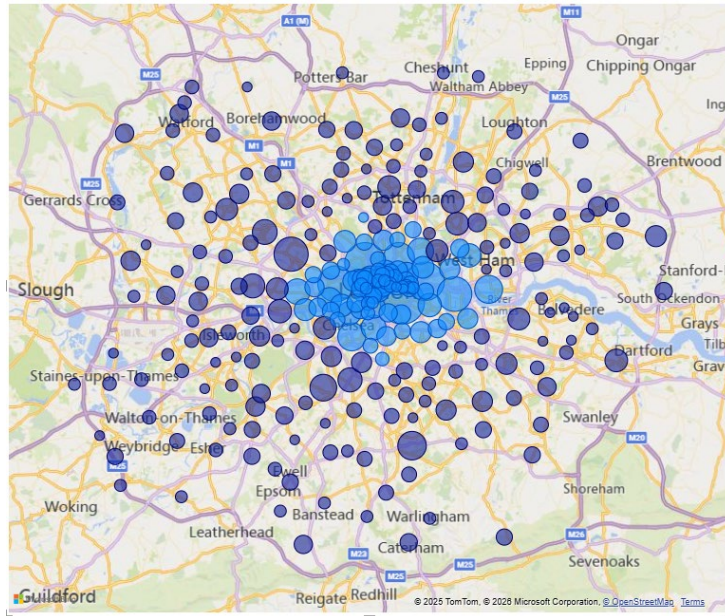
Inner London area is estimated to comprise of 20% of the whole of London.

All companies	
Inner	Outer
12295	18818
39.52%	60.48%

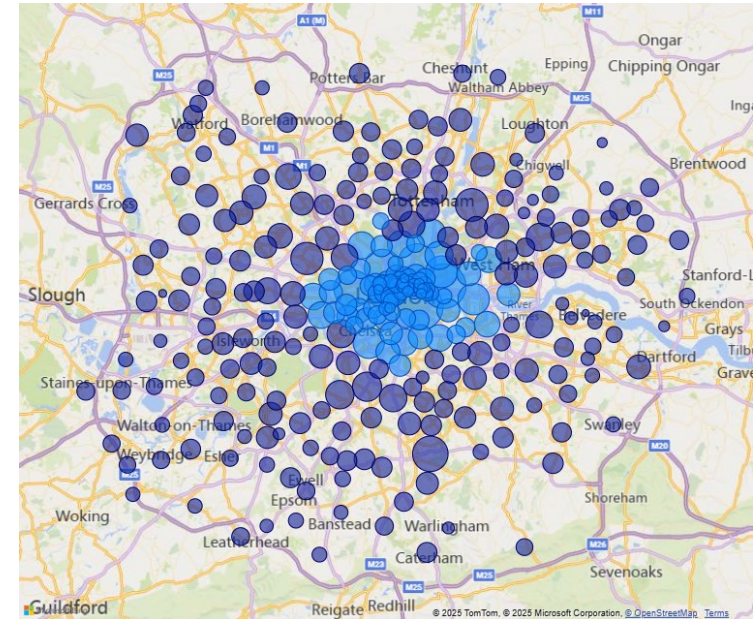


Current Repped & Prospect Map Distribution

Current established Repped



Prospect



- Many similar location distribution
- Prospect has visibly greater quantity of larger size bubbles
- Potential growth locally in already established regions.
- Delivery efficiency, frequency and scale is better for Inner London due to density.

Business locations

- Repped has a fairly balanced distribution of businesses between inner and outer London
- Therefore, prospective independent businesses have a similar chance to be in Inner or Outer London.

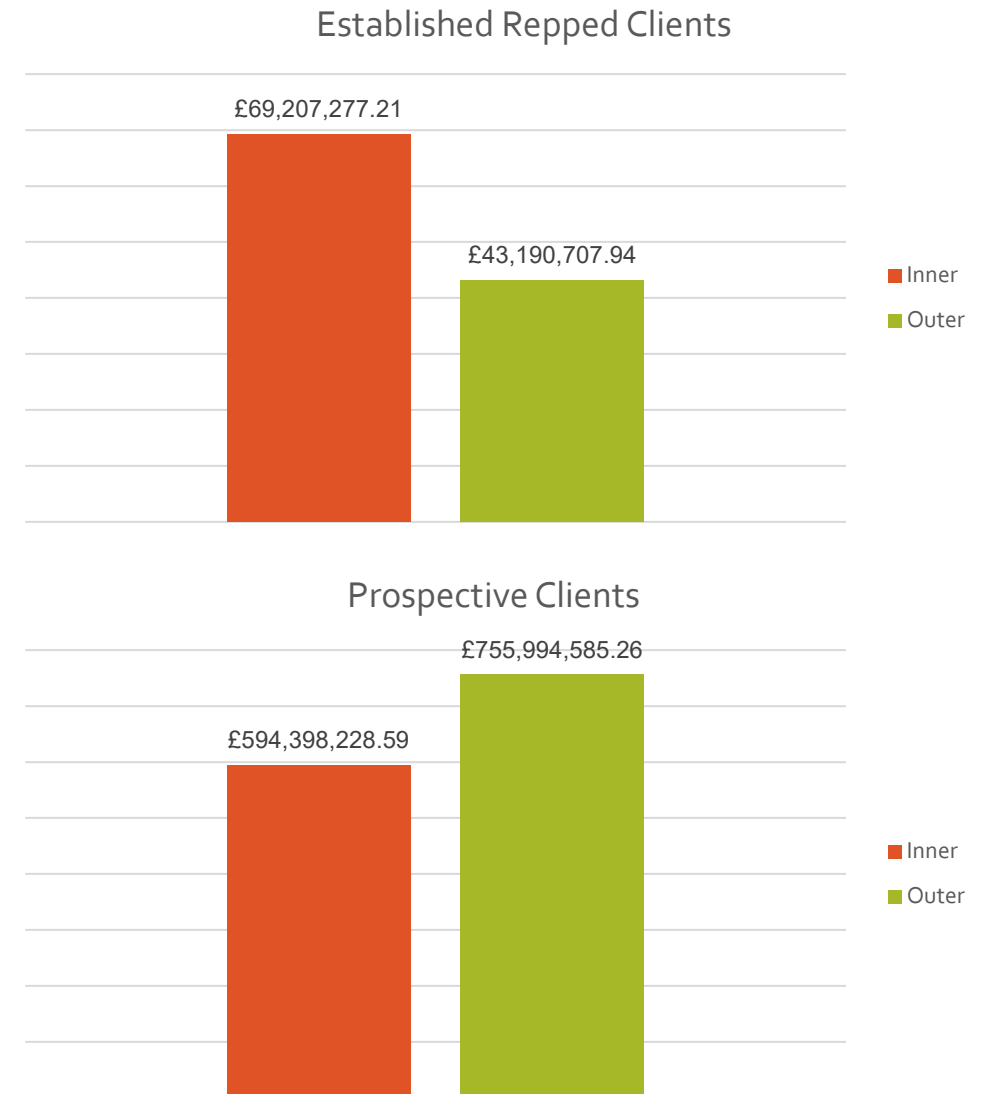
Repped	
Inner	Outer
897	883
50.39%	49.61%

Prospective companies	
Inner	Outer
10967	17169
38.98%	61.02%

SPEND

Opportunity Spend

- Repped has greater opportunity spend for Inner London compared to Outer London
- Indication that inner London businesses have better opportunity spend compared to outer London

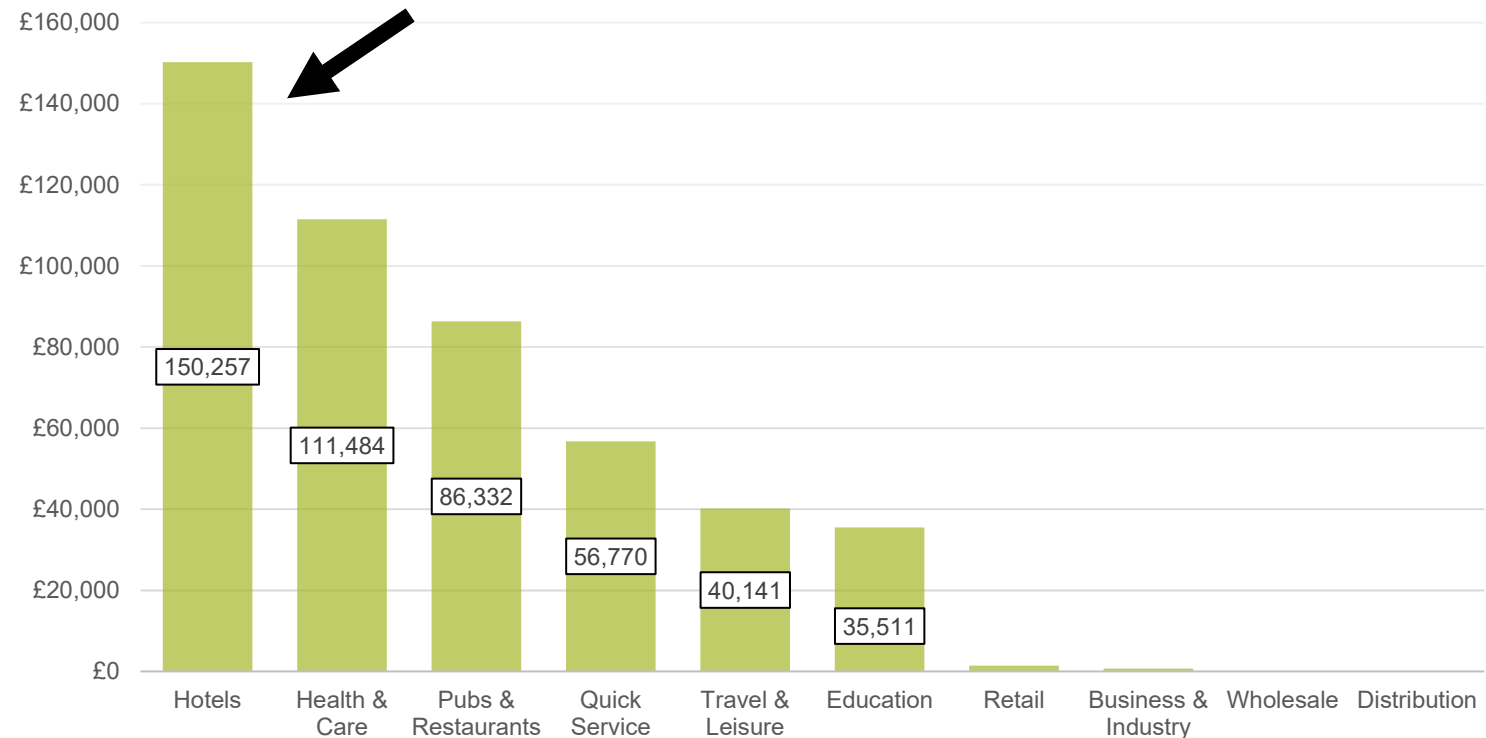


Average Opportunity Spend for Repped

Average spend of a single business

Highest average opportunity spend is hotel followed by Health & Care

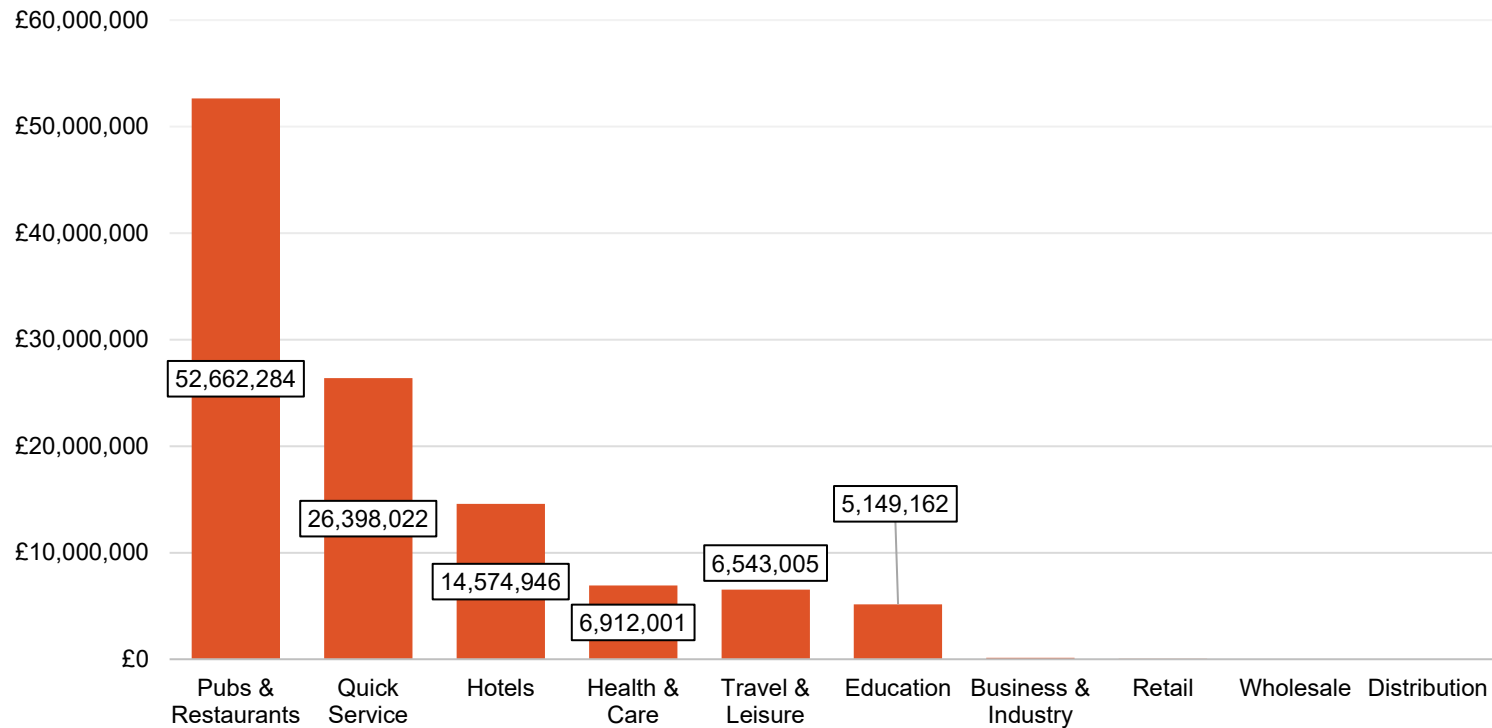
Consider working with higher average spend businesses as well



Total Opportunity Spend for Repped

Combined spend of
a single industry.

Highest total
opportunity spend is
Pubs & restaurant.



Average Opportunity Spend for Prospect

Good indicator of
Highest potential
Spend

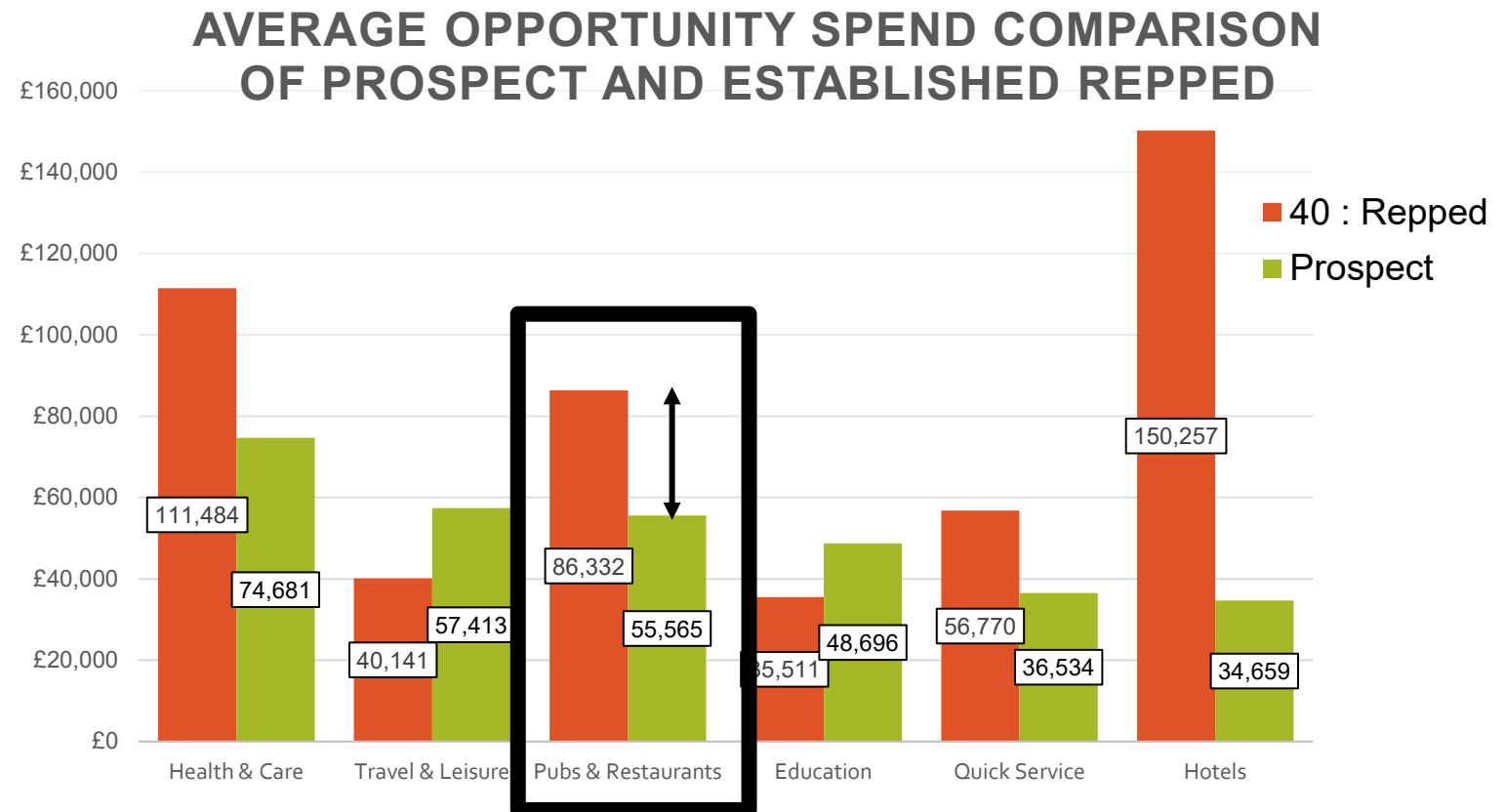
- £55,000 good
base opportunity
spend



Average Opportunity Spend for Prospect

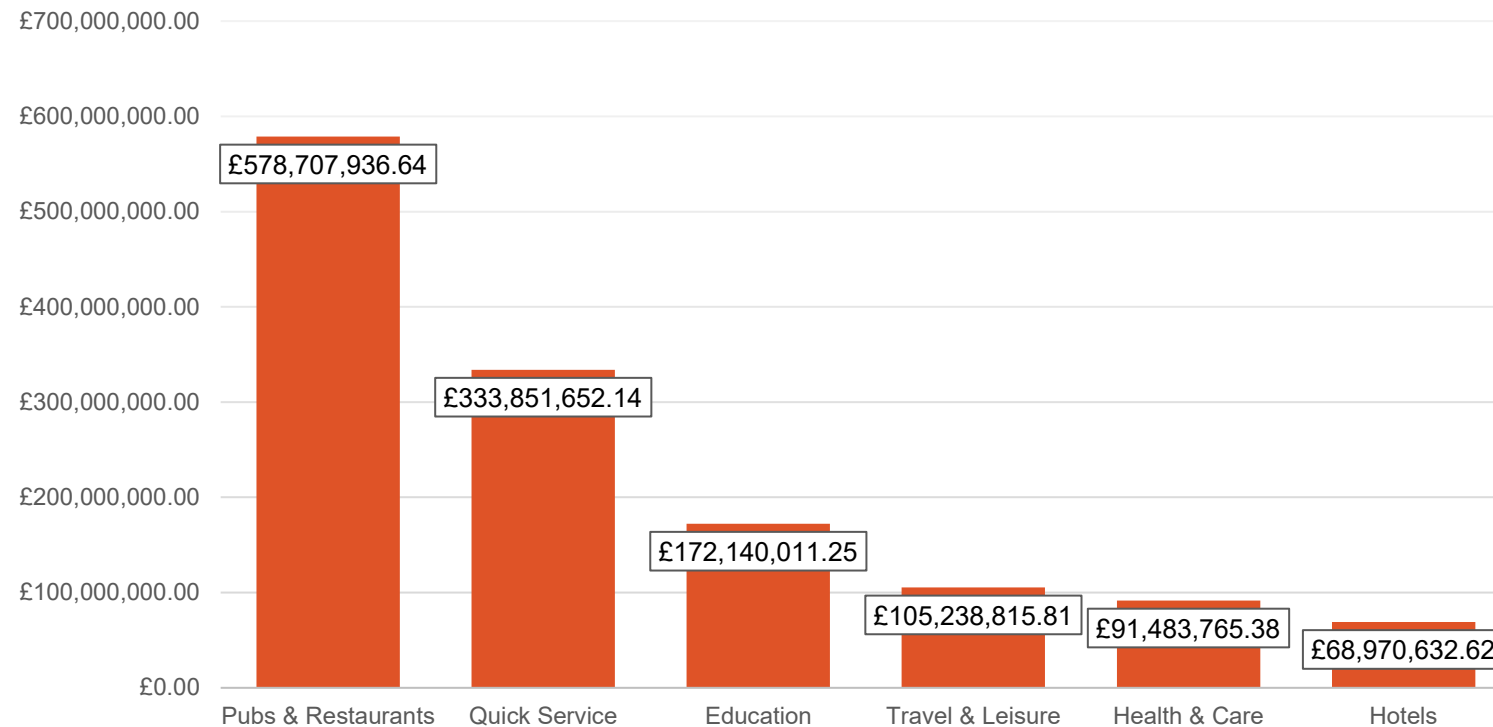
Good indicator of
Highest potential
Spend

- £55,000 good base opportunity spend
- £86,000 a good upper rating for Repped Customer Group



Total Prospect Opportunity Spend

Pubs & Restaurant
highest total
opportunity spend



Analysis Summary

- ~90% (28,136) of total companies are Prospect where ~60% (16,822) are estimated to be independent companies
- Industries under Food & Beverages i.e. Pubs & Restaurants, Quick Service are the most likely to be independent businesses
- Inner London has better Opportunity Spend value due to high density of businesses when converging towards central
- Density scales well with delivery efficiency and frequency
- Top industry for independent businesses for average Opportunity Spend are Hotels followed by Health & Care
- Best industry for independent businesses for total Opportunity Spend are those in Food & Beverage – Pubs & Restaurants and Quick Services

Strategy: Primary Focus

1. High prioritisation on Food & Beverage industries (Pubs, Restaurants and Quick Service)
 - £52M – Pubs & Restaurants
 - £26M – Quick Services
2. Filtering number of businesses using average opportunity spend value of Prospect
 - £55,000 for Pubs & Restaurant
 - £36,000 for Quick Services
3. Higher focus on Inner London businesses
 - 50.39% : 49.61% ratio → Inner and Outer (Repped)
 - £69M : £43M → Inner : Outer (Repped)
4. Ideally in close vicinity of already associated businesses with similar delivery requirements

Strategy: Secondary Focus

1. Focus on those with high individual opportunity spend (e.g. Hotels or Health & Care)
 - Hotels: £150K
 - Health & Care: £111K
1. No fixed industry
2. Highly selective in choosing Prospect business
3. Lower prioritisation to be an Inner London business

Conclusion: How Insights Support Growth

Primary

Best direction of growth is to look into industries related to Food & Beverages within Inner London.

Secondary

Selecting businesses with the highest individual Opportunity Spend.

What do these insights and strategies achieve?

- Tap into the ~90% of untouched market where we are able to optimise the direction of growth within the independent sector
- Identified which Customer Group and the estimated quantity that is considered part of the independent sector of the market alongside their respective industries
- Data led approach has enabled me to create strategies which priorities the highest growth industries through Opportunity Spend, market size and geography.

Thank You

Any Questions?